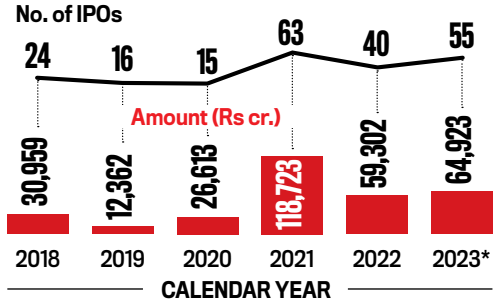
HEAVY RAINS AND FLOODS MAY have hit the headlines of late, but it's a deluge of a different sort that's creating waves in the Indian stock markets. Indian bourses, which saw millions dabble in online stock trading after the Covid pandemic struck in early 2020, are scaling a new peak. And it has prompted several companies to announce their initial public offering (IPO) plans to raise funds at higher valuations and offer safer exits to their investors. Notwithstanding a dry spell in the first two months of calendar year 2023, 13 firms have already raised over Rs 10,000 crore through IPOs since March. Another 42 firms have received market regulator Sebi's approval and are set to tap the markets for funds worth more than Rs 54,000 crore. The stock markets are anticipating an action-packed streak for the rest of the year. Another 30 IPO proposals are awaiting Sebi's approval, with plans to raise close to Rs 40,000 crore. In 2022, 40 IPOs had raised a total of Rs 59,302 crore.

Among the big IPOs lined up this year are those of financial services company Ebixcash, which is looking to raise Rs 6,000 crore, logistics firm TVS Supply Chain Solutions (Rs 4,200 crore) and engineering company Tata Technologies (Rs 4,000 crore). IPOs that have opened since March include that of Mankind Pharma (Rs 4,326 crore), engineering firm Avalon Technologies (Rs 865 crore), Yatharth Hospital & Trauma Care Services (Rs 676 crore), IT hardware firm Netweb Technologies (Rs 631 crore) and electric lamps and accessories company IKIO Lighting (Rs 606 crore).

What explains the current exuberance in the IPO market? For one, the Indian stock market has been on a bull run of late, with the benchmark BSE Sensex touching new highs and breaching the 67,000-mark on July 19. As on July 31, the Sensex stood at 66,527 points, nearly 9 per cent higher than the January 2 closing price of 61,167 points. "When valuation of an IPO goes sky high, that means it is at the top of the market," says Nilesh Shah, MD, Kotak Mahindra AMC, citing the example of the Reliance Power offering in 2008 and the Paytm IPO of 2021. "Some of the IPOs that we see now are expensive, while others are reasonable. It could be that those companies had filed for the IPO earlier, but their valuations look good to the retail investor."

There is another reason fuelling the surge—the positive sentiment about India among global investors. "The country is looking much better compared to several others—China, Russia, Turkey or Brazil—which are all doing pretty bad," says Shah. "For a global investor, there are limited options available." The fundamentals of the Indian economy are looking strong, maintains Shah, citing the way automotive companies have been performing. Sales of passenger vehicles, often treated as bellwether of economic activity, grew by 23 per cent in FY23 to 3.6 million units compared to 2.9 million units in FY22, in what was the first full year for the industry without the impact of the pandemic. The auto industry contributes 45 per cent to India's manufacturing GDP and provides nearly 37 million direct and indirect jobs.

IPOs OVER THE YEARS



**Jan.-Jul. 2023. Includes IPOs already launched (13) and those approved by Sebi; 30 more proposals worth Rs 40,000 crore await clearance. Source: primedatabase*

Following the market cue

"The primary market follows the secondary market, albeit with a lag," says Pranav Haldea, MD, Prime Database Group. The primary market is where securities are sold for the first time, as in the case of IPOs. In a secondary market, on the other hand, newly-issued securities and second-hand securities are traded. "With the secondary market being fairly bullish over the past couple of months, you are seeing a pick-up in the primary activity as well." In the past two months, significant money has come in from foreign portfolio investors (FPIs), he says, something that was missing in the initial part of the year, and is now driving the market forward. A Reuters report noted how FPIs added stocks worth $9.33 billion (Rs 76,769 crore) between March 1 and June 15. FPI inflows in Indian equities are expected to remain strong this fiscal too.

The rise of the domestic investor has been an equally significant push factor. "In the past, FPI selling would always result in a major correction in the Indian market. However, in the past two to three years, domestic investors have acted as a strong counterbalancing force and have provided support to the market," says Haldea. The share of retail investors (individuals with up to Rs



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